

BEFORE THE
FEDERAL MARITIME COMMISSION

FMC DOCKET NO. 22-35

M.E. DEY & CO., INC.,

COMPLAINANT,

v.

HAPAG-LLOYD AG and HAPAG-LLOYD (AMERICA) LLC,

RESPONDENTS.

**M.E. Dey’s Reply In Support of Joint Motion for Approval
of Confidential Settlement Agreement**

M.E. Dey (“Dey”) files this Reply brief in support of the Joint Motion for Approval of Confidential Settlement Agreement (“Settlement Agreement”) between Dey and Hapag-Lloyd AG and Hapag-Lloyd (America) LLC (collectively “Hapag.”)

On June 17, 2024, Dey and Hapag filed a Joint Motion for Approval of a Settlement Agreement between Dey (the “Complainant”) and Hapag (the “Respondents and Third-Party Complainants”). On July 11, 2024, CSX filed an Opposition to the Joint Motion for Approval of the Confidential Settlement Agreement. CSX’s Motion should be denied because it fails to identify any harm to itself (or the public) that could result from approval of the Settlement Agreement.

As reflected in Dey and Hapag’s Joint Motion for Approval of the Confidential Settlement Agreement, and as conceded by CSX itself, Commission policy encourages reasonable

settlements. *See, e.g., Aeneas Exporting LLC v. Carlo Shipping Intl, Inc.*, Docket No. 2011, 2020 FMC LEXIS 189, at *2, 2020 WL 5942148, at *2 (Fed. Mar. Comm'n Aug. 24, 2020) (Wirth, C.J.) (“The Commission has a strong and consistent policy of ‘encourag[ing] settlements and engag[ing] in every presumption which favors a finding that they are fair, correct, and valid.’”) (*quoting Inlet Fish Producers, Inc. v. Sea-Land Serv., Inc.*, 29 S.R.R. 975, 978 (ALJ 2002); *Old Ben Coal Co. v. Sea-Land Serv., Inc.*, 18 S.R.R. 975, 978 (ALJ 2002)); *Delhi Petroleum Pty. Ltd. v. US. Atl. & Gulf/Australia -New Zealand Conf. and Columbus Line, Inc.*, Docket Nos. 88-2, 88-4, 1988 FMC LEXIS 25, at *19, 24 S.R.R. 1129, 1134 (ALJ Aug. 12, 1988) (“[I]f it is the considered judgment of the parties that whatever benefits might result from vindication of their positions would be outweighed by the costs of continued litigation and if the settlement otherwise complies with law the Commission authorizes the settlement.”); *Mac Industries, Inc. d/b/a Mac Container Line v. COSCO Shipping Lines Co., Ltd.*, Docket No. 20-09, 2020 WL 4464298, at *2 (FMC July 29, 2020) (Wirth, C.J.) (“Reaching a settlement allows the parties to settle their differences, without an admission of a violation of law by the respondent, when both the complainant and respondent have decided that it would be much cheaper to settle on such terms than to seek to prevail after expensive litigation.”) (*quoting APM Terminals N Am., Inc. v. Port Auth. of N.Y. and New Jersey*, 31 S.R.R. 623, 626 (FMC 2009)).

CSX nonetheless contends that in this instance the Settlement should not be approved because: 1) it would interfere with the Commission’s Determination to Review the Administrative Law Judge’s dismissal of the Third-Party Complaint asserted by Hapag; and 2) the Settlement does not dispose of the Third-Party Complaint filed by Hapag. Neither contention can withstand scrutiny.

First, the Settlement Agreement in no way prevents the Commission from reviewing the Administrative Law Judge's Order and decision. This argument therefore wholly lacks foundation.

Second, the Settlement Agreement does not address, nor is it intended to address, the merits of the Third-Party Complaint brought by Hapag against CSX. There is no requirement under Commission Rules or precedent that a settlement necessarily dispose of third-party litigation. Here, if the Commission affirms the Administrative Law Judge's holding, nothing will remain for resolution. If the decision is reversed or remanded, Hapag will determine whether it wants to pursue its claim against CSX. Thus, the Settlement Agreement between Dey and Hapag will in no way prejudice CSX and, depending on the terms of the Confidential Settlement Agreement, could limit CSX's exposure under the claim.

For the reasons set forth herein, Dey requests approval of the Settlement Agreement between Dey and Hapag.

Date: July 19, 2024

Respectfully Submitted,

/s/ Brendan Collins
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CERTIFICATE OF SERVICE:

I hereby certify that on the 19th day of July, 2024, a true copy of the foregoing was sent to all counsel of record via the Court's Electronic Filing System.

/s/ Brendan Collins

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